Vistra Corp (VST)
Contracted AI Power

Vistra Corp screens as a Buy with a $173.05 blended target, 15% above the current price.

Analyst: Justin Wen

BUY	$173.05	+15%	$150.32
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Contracted AI Power. Vistra is the purest play on data center electricity demand: 1,200 MW AWS PPA (Comanche Peak), 2,609 MW Meta PPAs (PJM nuclear), and the Helix JV with KKR and NVIDIA. Customers are contracting before regulations are settled [8-K Q2 2026]. Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative [8-K Q2 2026]. Valuation Reset. At $152.02 [Mkt 16-Oct-26], the stock is 27%

The latest print

Execution Validated. Q2 adjusted EBITDA of $1.767B (+31% YoY), 97% fleet availability through record Texas heat, 2026 guidance at/above midpoint. The operations support the narrative.

Valuation Reset. At $152.02, the stock is 27% below its $219.82 high despite no business deterioration. Our $167.47 DCF base implies 10% upside with a Buy rating; PEG of 0.43 suggests the market overcorrected.

$1.767B	$1.80	$6.8-7.6B	$3.9-4.7B	97%+	$17.7B
ADJ. EBITDA (Q2 2026)	EPS (Q2 2026)	2026 ADJ. EBITDA GUIDE	2026 ADJ. FCF GUIDE	FLEET AVAILABILITY	REVENUE (FY25)

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Vistra Corp, valuation framework

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Adj. EBITDA (Q2 2026)	$1.767B	+31.0%	Up
EPS (Q2 2026)	$1.80	+17% beat	Up
2026 Adj. EBITDA Guide	$6.8-7.6B	At/above midpoint	Up
2026 Adj. FCF Guide	$3.9-4.7B	~9% FCF yield	Up
Fleet Availability	97%+	Record heat perf.	Up
Revenue (FY25)	$17.7B	+3.0%	Up
Net Income (FY25)	$944M	-64.5%	Down

The moat

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet)

The growth engine

Helix Digital Infrastructure JV with KKR, NVIDIA; up to $1B commitment

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	$19.92B	16.0%	**$103.93**	-31%
Base	50%	8.0%	$24.08B	20.0%	**$170.89**	+14%
Bull	25%	12.0%	$27.85B	24.0%	**$246.49**	+64%

Bear: downside case at $103.93 (-31%).

Base: central case at $170.89 (+14%).

Bull: upside case at $246.49 (+64%).

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The probability-blended target implies 15% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +15% from the $150.32 reference price.

$173.05
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$17.70B**
Valuation horizon	**2026-2030**
Live WACC	**8.73%**
WACC path (Year 1 to final year)	**8.73% to 6.91%**
Terminal growth	**2.5%**
Net debt	**$17.29B**
2030 FCF (Base)	**$3.97B**
10-year Treasury yield	**5.1%**
Beta	**1.39**
Equity risk premium	**3.5%**

BUY | $173.05 blended target | Wen

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 8.9%. at/above Base (8%) - constructive

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$46.1B	$84.90	+20%	$107.9B	$267.05
+1%	$48.2B	$91.24			
+2%	$50.5B	$97.83			
+3%	$52.8B	$104.66			
+4%	$55.2B	$111.76			
+5%	$57.7B	$119.12			
+6%	$60.3B	$126.75			
+7%	$63.0B	$134.67			
+8%	$65.8B	$142.88			
+9%	**$68.6B**	**$151.38**			
+10%	$71.6B	$160.19			
+11%	$74.7B	$169.32			
+12%	$77.9B	$178.77			
+13%	$81.2B	$188.55			
+14%	$84.7B	$198.67			
+15%	$88.2B	$209.14			
+16%	$91.9B	$219.97			
+17%	$95.7B	$231.16			
+18%	$99.6B	$242.74			
+19%	$103.7B	$254.70			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$52.54B	—	2.5%	-$17.29B	$35.26B	**$103.93**
Base	$75.26B	—	2.5%	-$17.29B	$57.97B	**$170.89**
Bull	$100.90B	—	2.5%	-$17.29B	$83.62B	**$246.49**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$113.00	$113.00	$116.17	$119.05	$121.74	$124.19
Base	$185.81	$185.81	$194.91	$203.52	$211.62	$218.95
Bull	$268.01	$268.01	$283.86	$299.15	$313.57	$326.64

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $173.05 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Nuclear PPAs: AWS 1,200 MW (Comanche Peak), Meta 2,609 MW (PJM fleet)

Helix Digital Infrastructure JV with KKR, NVIDIA; up to $1B commitment

4-6% annual ERCOT load growth guided through 2030 on data centers

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$11.9B	$13.7B	$14.7B	$17.2B	$17.7B
Adj. EBITDA	$3.1B	$3.3B	$4.0B	$5.8B	$6.4B
Net Margin	-12.1%	-18.4%	9.8%	15.4%	5.3%

Valuation cross-check

NTM P/E 14.7x

DCF Base $167.47 vs $152.02 spot

PEG 0.43

DCF implies 10% upside with a Buy rating. PEG of 0.43 is deeply cheap for the growth profile.

CEG and IPP peers at higher multiples

Trades at a discount to nuclear peers despite comparable contracted cash flows.

Trading 27% below 52-week high

Valuation reset on sentiment; multiples are below historical averages.

What to monitor

Nov 2026. Q3 2026 Earnings: data center PPA announcements are the watch item.

2027. Comanche Peak late-2027 project timeline; Texas data center audits could pause reviews.

2027-2028. Helix Digital Infrastructure JV deployment with KKR/NVIDIA.

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Vistra Corp. valuation framework

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$12.1B	—	$-1.5B	—
2022	$13.7B	$1.7B	$-1.1B	$1.0B
2023	$14.8B	$5.5B	$2.7B	$4.6B
2024	$17.2B	$7.5B	$4.1B	$7.0B
2025	$17.7B	$5.8B	$2.1B	$5.1B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$29.7B	$21.4B	$8.3B	$1.3B
2022	$32.8B	$27.9B	$4.9B	$455M
2023	$33.0B	$27.6B	$5.3B	$3.5B
2024	$37.8B	$32.2B	$5.6B	$1.2B
2025	$41.5B	$36.4B	$5.1B	$785M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$-206M	$1.0B	$2.3B	$827M
2022	$485M	$-1.3B	$-80M	$-816M
2023	$5.5B	$-1.7B	$-294M	$3.8B
2024	$4.6B	$-2.1B	$-1.6B	$2.5B
2025	$4.1B	$-2.8B	$-74M	$1.3B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $173.05 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.77% of shares outstanding. Form 4 filings over the trailing six months show $1.17M of open-market purchases against $25.88M of sales, a net flow of -$24.71M. One-year total shareholder return is -19.1% against CEO total pay of $4.56M (Mr. James A. Burke CPA), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.77% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $1.17M (2) vs sales $25.88M (10), net -$24.71M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -19.1%; Mr. James A. Burke CPA, President, CEO & Director, total pay $4.56M
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-07	Moldovan Kristopher E.	Officer	SELL	20,000	$3.30M
2026-10-06	Hudson Scott A	Officer	SELL	22,222	$3.56M
2026-09-08	Moldovan Kristopher E.	Chief Financial Officer	SELL	20,000	$3.02M
2026-09-08	Hudson Scott A	Officer	SELL	44,444	$6.75M
2026-09-01	Burke James A.	Chief Executive Officer	BUY	6,665	$903.1K
2026-08-24	Burke James A.	Chief Executive Officer	BUY	2,000	$270.0K
2026-06-18	Sult John R	Director	SELL	6,500	$1.10M
2026-06-18	Acosta Arcilia C	Director	SELL	15,000	$2.51M

SEC proxy audit, DEF 14A filed 2026-03-18

Alignment grade A. NO PAY CUT. James A. Burke, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Vistra's executive compensation remained largely unchanged in 2025, with no significant pay cuts or bonuses awarded. The compensation committee maintained a pay-for-performance philosophy, tying variable pay to long-term shareholder value. The committee's oversight appears aligned with TSR objectives, as compensation was approved by a strong majority of shareholders.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1692819/000162828026019029/vistra-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Leverage

Debt/equity of 3.93x and current ratio of 0.78x leave little room for error in a downturn.

Merchant Exposure

ERCOT pricing was soft in Q2; merchant exposure means earnings volatility on power prices.

Nuclear Operations

Nuclear operations carry regulatory and operational tail risk; any extended outage is material.

The strengths

Operating Quality

Contracted nuclear PPAs with Meta and AWS provide multi-decade visibility. But 3.93x debt/equity and merchant exposure to ERCOT pricing keep quality in check. The hybrid model is the right strategy.

Recent Trend

Q2 EBITDA +31% YoY, EPS beat, guidance at/above midpoint, 97% fleet availability in record heat. Operational execution is excellent.

Forward Growth

Data center load growth (4-6% ERCOT), Helix JV with NVIDIA/KKR, nuclear uprates. The electricity demand thesis is structural, not cyclical.

Valuation

At $152.02 vs $167.47 DCF base, ~10% upside with a Buy rating. PEG 0.43 is deeply cheap. Stock -27% from highs on sentiment, not fundamentals. Classic reset opportunity.

Cascadia scorecard

Composite score 75: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Contracted nuclear PPAs with Meta and AWS provide multi-decade visibility. But 3.93x debt/equity and merchant exposure to ERCOT pricing keep quality in check. The hybrid model is the right strategy.	75
Recent Trend	Q2 EBITDA +31% YoY, EPS beat, guidance at/above midpoint, 97% fleet availability in record heat. Operational execution is excellent.	80
Forward Growth	Data center load growth (4-6% ERCOT), Helix JV with NVIDIA/KKR, nuclear uprates. The electricity demand thesis is structural, not cyclical.	75
Valuation	At $152.02 vs $167.47 DCF base, ~10% upside with a Buy rating. PEG 0.43 is deeply cheap. Stock -27% from highs on sentiment, not fundamentals. Classic reset opportunity.	72
Catalysts & Risk	Q3 earnings, new PPA announcements, and continued buybacks ($6.5B since 2021, -30% share count) are positives. Leverage and ERCOT price softness are risks. Positive skew.	75

Investment view

New large-scale PPA announcements would lift Growth and Catalysts. ERCOT price weakness or leverage concerns would cut Valuation.

Investment view: Buy. The $173.05 blended target implies +15%, balancing the $103.93 / $170.89 / $246.49 Bear / Base / Bull outcomes.

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